GradientCIO

INVESTMENT COMMITTEE MEMO

Rebalance: Northstar Global Growth Fund

Northstar Foundation · Investment Committee meeting 2026-10-15

DECISION
Rebalance

MEETING DATE
2026-10-15

DATA AS OF
2026-09-30

BASE CURRENCY
USD

01 Recommendation and Decision Requested

Two band breaches, one near its limit, three not assessed

RECOMMENDATION

Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches S1. The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

TRAILING 1Y VS BENCHMARK	IPS BREACHES	EXPECTED RETURN VS OBJECTIVE	T1 LIQUIDITY
+49 bps	2	−28 bps	44.6%
6.9% net return S2	1 more near its limit S1	6.7% vs 7.0% S3	15.0% minimum S1

ILLUSTRATIVE DATA — Figures marked [S#] use the scope "Illustrative, Gradient Maintained — demo data, not the client's holdings or managers."

Reduce public equity by 400 bps and fund fixed income and cash.

Decision requested: approve the 30-day rebalance S1

FIELD	VALUE
Memo type	Rebalance
Portfolio	Northstar Global Growth Fund (example-portfolio-id)
Organization	Northstar Foundation
Prepared for	Investment Committee
Meeting date	2026-10-15
Data as of	2026-09-30
Assumption set	Gradient ICAPM Global Baseline, Q3 2026 (USD) — CMA release Q3-2026-policy-v2.1 (2026-09-11)
Base currency	USD
Status	DRAFT — for committee review
Data quality	Illustrative
Data basis	mixed

Recommendation: Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches.

Decision requested: The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

Rationale (three points, most important first):

1. Fixed income (19.0%) and cash (1.0%) are below their IPS minimums S1.
2. Cash at 1.0% leaves no operating buffer for 12-month calls of USD 180.0m S1 S9.
3. The change lowers expected volatility by 60 bps with a 15 bps reduction in expected return S3.

Key risks (three points, most material first):

1. Risk-limit compliance is not assessed because the persisted thresholds do not specify a governed observation horizon and return basis S1.
2. Expected return remains 28 bps below the CPI + 4.5% objective S1 S3.
3. Gradient's real estate assumption is 499 bps above consensus S4.

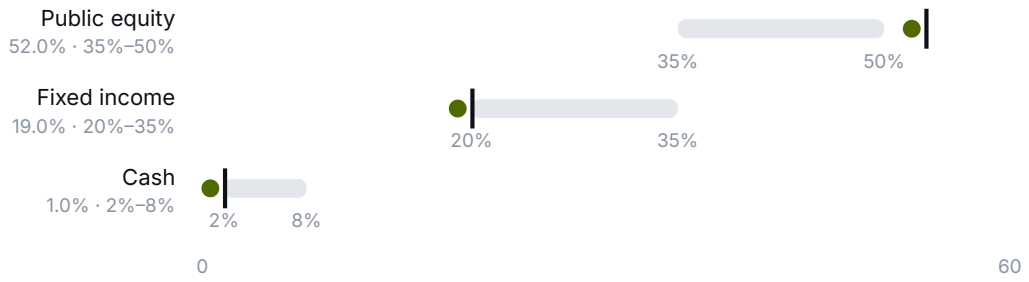
Conditions to approval:

1. Confirm the inflation assumption used for the real return objective (Section 15, item 1).

02 Executive Summary

- **Positioning:** Public equity is 700 bps overweight and fixed income 600 bps underweight versus policy S1.
- **IPS:** 6 constraints Compliant, 1 Near limit, 2 Breach, 3 Not assessed. Breaches: fixed income band and cash band.
- **Performance:** 1Y return 6.9% versus 6.4% for the policy benchmark (+49 bps). Governed attribution is unavailable for the selected period S2.
- **Outlook:** Expected return 6.7% versus a 7.0% objective, volatility 13.1%, 44.0% probability of meeting the objective S3.
- **Liquidity & diligence:** Stress coverage 2.61 on the liquidity model; zero High diligence findings S1 S5 S9.

DECISION RANGES



Key judgment — Policy drives the decision

Observation: Two allocation bands are in Breach S1. Why it matters: The proposed rebalance directly cures both policy exceptions. Uncertainty: Governed risk-limit observations remain unavailable for the decision. What would change the view: Aligned risk results showing another breach or reduced implementation capacity.

Key judgment — Liquidity supports implementation

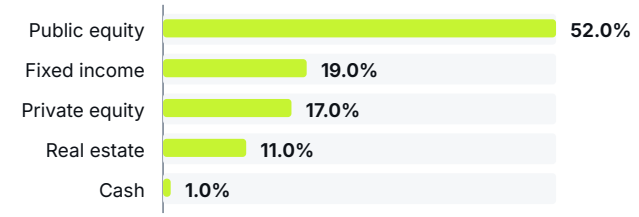
Observation: T1 liquidity is 44.6% versus a 15.0% minimum S1. Why it matters: The 29.6-point cushion provides meaningful implementation capacity. Uncertainty: Private valuations lag the liquid-asset measurement date. What would change the view: An updated liquidity schedule reducing coverage below the policy minimum.

Key judgment — Return tradeoff is modest

Observation: The proposed case lowers return 15 bps and volatility 60 bps S3. Why it matters: That tradeoff accompanies correction of both policy breaches. Uncertainty: Long-horizon CMA assumptions are not realized outcomes. What would change the view: A refreshed CMA reversing the 45-bps risk-return tradeoff.

03 Portfolio Snapshot

CURRENT WEIGHT BY ASSET CLASS



ACTIVE WEIGHT VS POLICY (BPS)



ITEM	VALUE	SOURCE
Total NAV	USD 3375.0m	S1
Unfunded commitments	USD 420.0m	S1
Number of holdings / commitments	56	S1
Number of managers	18	S1
Valuation date(s)	2026-09-30; private funds 2026-06-30 (one quarter lag)	S1

ASSET CLASS	CURRENT WEIGHT	POLICY TARGET	RANGE (MIN–MAX)	ACTIVE (BPS)	STATUS
public_equity	52.0%	45.0%	35.0%–55.0%	+700 bps	Compliant
fixed_income	19.0%	25.0%	20.0%–30.0%	−600 bps	Breach
private_equity	17.0%	15.0%	10.0%–20.0%	+200 bps	Compliant
real_estate	11.0%	10.0%	5.0%–12.0%	+100 bps	Compliant
cash	1.0%	5.0%	2.0%–8.0%	−400 bps	Breach
Total	100.0%	100.0%			

Analysis — Two sleeves need correction

Observation: Fixed income and cash are both below policy minimums S1. Why it matters: Those two breaches determine the required trade sizing. Uncertainty: Current valuation dates may omit subsequent weight movements. What would change the view: Refreshed valuations restoring both sleeves above minimum thresholds.

04 IPS Compliance

POLICY CONSTRAINT STATUS

Allocation	**Breach**	Two breached bands S1
Return	**Near limit**	Objective gap S1
Risk	**Not assessed**	Observation basis unavailable S1
Liquidity	**Compliant**	Minimum met S1
Concentration	**Compliant**	Manager cap met S1

POLICY STATUS MATRIX

	CONSTRAINT	STATUS SCORE
ALLOCATION	-1.0	
LIQUIDITY	1.0	
CONCENTRATION	1.0	
RISK EVIDENCE	0.0	

#	CONSTRAINT	IPS REQUIREMENT	CURRENT	STATUS	SOURCE
1	Allocation — public_equity	35.0%–55.0%	52.0%	**Compliant**	IPS §4.1
2	Allocation — fixed_income	20.0%–30.0%	19.0%	**Breach**	IPS §4.1
3	Allocation — private_equity	10.0%–20.0%	17.0%	**Compliant**	IPS §4.1
4	Allocation — real_estate	5.0%–12.0%	11.0%	**Compliant**	IPS §4.1
5	Allocation — cash	2.0%–8.0%	1.0%	**Breach**	IPS §4.1
6	Return objective	CPI + 4.5%	6.7%	Near limit	IPS §3.1
7	Expected volatility	≤ 14.0%	Not available — observation basis unaligned	**Not assessed**	IPS §3.2
8	Expected max drawdown	≤ 35.0%	Not available — observation basis unaligned	**Not assessed**	IPS §3.2
9	T1 liquidity (% NAV)	≥ 15.0%	21.0%	**Compliant**	IPS §5.1
10	Liquidity coverage ratio	≥ 1.50	2.61	**Compliant**	IPS §5.3
11	Largest single manager (% NAV)	≤ 10.0%	8.5%	**Compliant**	IPS §6.1
12	No direct tobacco holdings	prohibited	n/a	**Not assessed**	IPS §7.1

Summary: 6 Compliant, 1 Near limit, 2 Breach, 3 Not assessed. **Breaches and required actions:** Fixed income and cash bands — cured by the Section 13 rebalance.

CONCENTRATION VS LIMIT



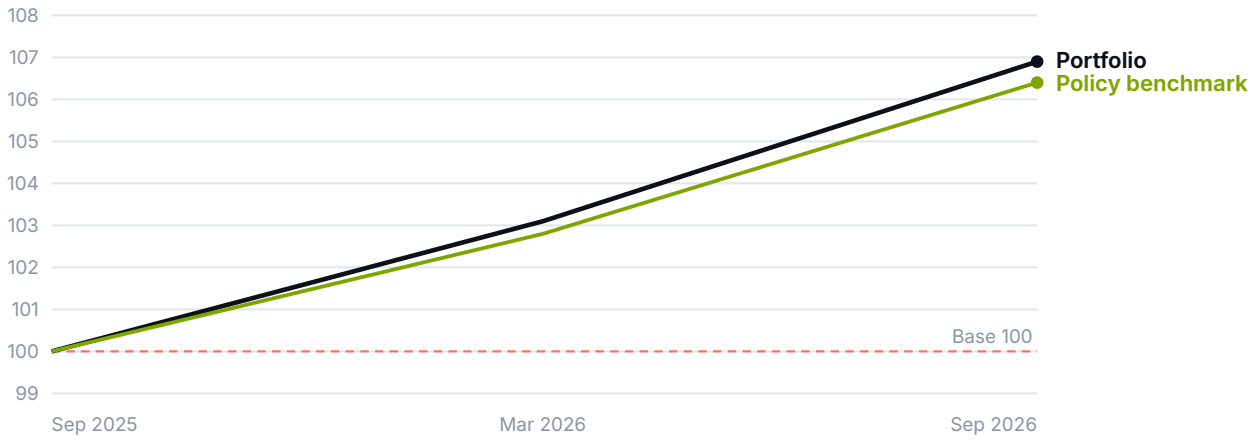
Analysis — Compliance evidence is mixed

Observation: Allocation has two Breaches while risk is Not assessed S1. Why it matters: Allocation can be corrected before risk evidence arrives. Uncertainty: Governed risk observations remain unavailable for aligned assessment. What would change the view: Returned risk results that create or remove a policy breach.

05 Performance & Attribution

5.1 Returns

GROWTH OF 100



PERIOD	PORTFOLIO	POLICY BENCHMARK	EXCESS (BPS)	BASIS
QTD	1.8%	1.6%	+20 bps	Net
YTD	5.2%	4.9%	+30 bps	Net
1Y	6.9%	6.4%	+49 bps	Net
3Y ann.	7.4%	7.1%	+30 bps	Net
5Y ann.	n/a	n/a	n/a	Net
Since inception ann.	7.0%	6.8%	+20 bps	Net

5.2 Attribution — 1Y

Not available — `get_portfolio_attribution` returned `coverage.status: unavailable` with `no_weight_cohorts`; no local attribution was derived S2.

5.3 Top contributors and detractors

RANK	CONTRIBUTORS	CONTRIBUTION (BPS)	DETRACTORS	CONTRIBUTION (BPS)
1	Manager A (public equity)	+31 bps	Manager F (buyout)	−14 bps
2	Manager B (public equity)	+12 bps	Manager G (core bonds)	−6 bps

CALENDAR-YEAR RETURNS



1Y attribution — total effect by asset class (bps)

Not available — the governed attribution result returned no weight cohorts S2

Analysis — Relative return stayed positive

Observation: The portfolio exceeded policy by 49 bps over one year S2. Why it matters: Positive excess return supplies context but not causal attribution. Uncertainty: Effect-level attribution results remain unavailable for this period. What would change the view: Reconciled attribution records identifying a negative leading effect.

06 Factor Exposures & Concentration

6.1 Factor exposures

FACTOR AND CURRENCY EXPOSURE



FACTOR	EXPOSURE	BENCHMARK EXPOSURE	ACTIVE	UNITS	SOURCE
Equity market	0.78	0.70	0.08	beta	S6
Duration	1.90	2.40	−0.50	years	S6

6.2 Concentration and diversification

METRIC	VALUE	IPS LIMIT	STATUS	SOURCE
Largest single manager (% NAV)	8.5%	10.0%	Compliant	S1
Top 5 managers (% NAV)	34.0%	n/a	Not assessed	S1
Largest single holding look-through (% NAV)	n/a	n/a	Not assessed	Not available — no look-through data
Effective number of positions	14.20	n/a	Not applicable	S6
Diversification ratio	1.32	n/a	Not applicable	S6
Equity beta to global equities	0.78	n/a	Not assessed	S6

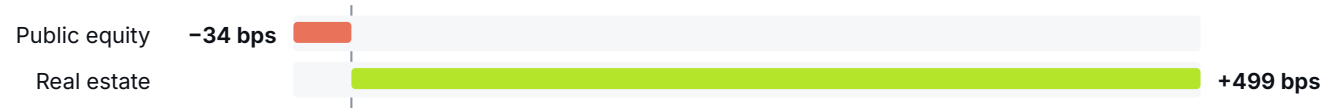
Analysis — Concentration remains within limit

Observation: The largest manager is 8.5% versus a 10.0% limit S1. Why it matters: The returned concentration measure remains policy compliant. Uncertainty: Incomplete look-through holdings may omit indirect manager exposure. What would change the view: Completed holdings showing concentration above the 10.0% threshold.

07 Expected Return & Risk

Assumptions: Gradient ICAPM Global Baseline Q3 2026, CMA release Q3-2026-policy-v2.1, 10-year horizon, USD, unhedged.

GRADIENT VS CONSENSUS GAP (BPS)



Example consultant CMA survey, 2025-12-31 S4

7.1 Portfolio expected statistics

METRIC	CURRENT	PROPOSED	POLICY PORTFOLIO	IPS OBJECTIVE / LIMIT	STATUS
Expected return (nominal, ann.)	6.7%	6.6%	6.5%	7.0%	Near limit
Expected excess return over cash	2.9%	2.8%	2.7%	n/a	Not applicable
Expected volatility (ann.)	13.1%	12.5%	12.0%	14.0%	Near limit
Sharpe ratio	0.22	0.22	0.23	n/a	Not applicable
Expected max drawdown	38.0%	36.5%	35.0%	35.0%	Breach
95% CVaR (1-year)	21.0%	20.0%	19.5%	n/a	Not assessed
Probability of meeting return objective	44.0%	42.0%	40.0%	n/a	Not applicable

7.2 Consensus check

ASSET CLASS	GRADIENT EXPECTED EXCESS	CONSENSUS REFERENCE	GAP (BPS)	COMPARABILITY	SOURCE
public_equity	4.7%	5.1%	−34 bps	proxy	S4
real_estate	7.6%	2.6%	+499 bps	direct	S4

Allocation-implied return: Gradient 8.2% vs consensus 6.7% (Example consultant CMA survey, 2025-12-31) S4. **Assumption quality:** quality receipt unvalidated; repeated higher moments flagged for two equity factors S4.

7.3 Regime overlay

Current regime: GRIP 76 (Defensive), as of 2026-10-01, coverage 0.95, degraded (one lagging input) S7. **Effect on expectations:** Regime adjustment not available — baseline shown.

GRIP
76
Defensive S7

POLICY EXPECTED RETURN
6.5%
Baseline S3

RETURN OBJECTIVE
7.0%
IPS S1

Analysis — Assumption gap needs review

Observation: Real estate is 499 bps above consensus S4. Why it matters: That gap materially affects the forward portfolio case. Uncertainty: Source dates and model bases are not aligned. What would change the view: Comparable refreshed assumptions narrowing the gap below 100 bps.

08 Stress Tests & Scenarios

SCENARIO IMPACTS (%)



Portfolio impact, worst first S8

SCENARIO	TYPE	PORTFOLIO IMPACT	POLICY IMPACT	LIQUIDITY COVERAGE AFTER	SOURCE
2008 global financial crisis	Historical	−24.0%	−21.0%	2.61	S8
5th percentile, 1 year	Simulated percentile	−14.0%	−12.5%	3.80	S8

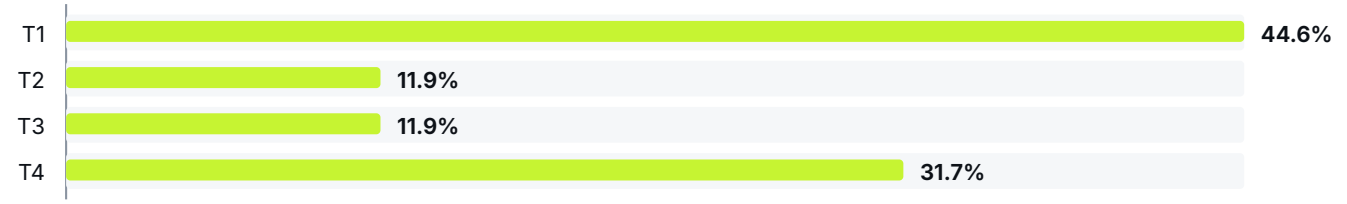
Robustness: Results are stable across start dates within ±80 bps of expected return S8.

> **Analysis — Stress losses remain material**
> Observation: The historical stress impact is −24.0% S8. Why it matters: It frames the loss accepted alongside the proposed breach cure. Uncertainty: Scenario assumptions are illustrative rather than probability estimates. What would change the view: Governed scenario results showing materially lower portfolio impact.

09 Liquidity

9.1 Liquidity tiers

LIQUIDITY TIERS (% NAV)



LIQUIDITY TIER MIX



TIER	DEFINITION	% NAV	AMOUNT (USD M)	SOURCE
T1	Daily to weekly	44.6%	1505.0	S1
T2	Monthly to quarterly	11.9%	400.0	S1
T3	Semi-annual to 2 years	11.9%	400.0	S1
T4	Over 2 years / locked / private	31.7%	1070.0	S1
Total		100.0%	3375.0	

9.2 Coverage

METRIC	BASE CASE	STRESS CASE	IPS MINIMUM	STATUS	SOURCE
T1 liquidity (% NAV)	44.6%	42.4%	15.0%	Compliant	S1 S11
Unfunded commitments (USD m)	420.0	420.0	n/a	Not applicable	S1
12-month spending / distributions (USD m)	150.0	150.0	n/a	Not applicable	S1
Liquidity coverage ratio	5.77	2.61	1.50	Compliant	S1 S11
Private markets % NAV (incl. unfunded)	36.1%	36.1%	40.0%	Near limit	S1

- HF B placed in T4 (gated).

Pacing: Projected 12-month calls USD 180.0m against distributions of USD 95.0m S9.

COMMITMENTS LIQUIDITY SCORECARD

METRIC	VALUE
Stress coverage	2.61

COMMITMENT PACING

PERIOD	CALLS
Next 12 months	180,000,000

> **Commitment flow context**
> Projected calls and distributions are shown separately so the returned pacing and cash-flow evidence remains readable S9.

COMMITMENT CASH FLOW

PERIOD	DISTRIBUTIONS
Next 12 months	95,000,000

> **Analysis — Liquidity clears the minimum**
> Observation: Stress coverage is 2.61 versus a 1.50 minimum S1 S11. Why it matters: The 1.11 cushion supports near-term implementation capacity. Uncertainty: Commitment-call assumptions are projected and not yet confirmed. What would change the view: An updated schedule reducing coverage below the 1.50 threshold.

10 Manager & Operational Diligence

MEDIUM **Verification follow-up**

Manager A verification report remains open at 8.5% exposure S5.

MANAGER	STRATEGY	EXPOSURE (% NAV)	ODD RED FLAGS	OPEN FINDINGS (H/M/L)	MONITOR ALERTS	GIPS STATUS	LAST REVIEW	SOURCE
Manager A	Global equity	8.5%	0	0/1/0	0	Claims, verified	2026-06-30	S5
Other (17 managers)	Various	91.5%	n/a	0/2/3	0	Not applicable	n/a	S5

Exposure-weighted findings: No active High findings S5. **Attention queue:** None overdue S5.

Analysis — No high findings returned

Observation: No active High findings were returned S5. Why it matters: Immediate operational escalation is not evidenced today. Uncertainty: Verification remains open and may reveal missing findings. What would change the view: New High findings or completed verification records identifying one.

11 Performance Integrity & GIPS

GIPS REVIEW COVERAGE

Total fund	**Not available**	Asset Owner Report not provided S5
Manager A	**Incomplete**	Assessment complete; latest verification report open S5

GIPS follow-ups

Obtain Manager A's latest verification report within 30 days and provide the total-fund GIPS Asset Owner Report at the next review S5.

11.1 Total fund

Not assessed — no GIPS Asset Owner Report provided.

11.2 Manager A

Overall assessment: Satisfactory with follow-ups. Verification report for the latest year not yet received.

12 Market Context

- **Regime:** GRIP 76, Defensive; rates and cross-asset pillars are the main pressure S7.
- **Key indicators:** Core PCE index rose 0.3% over three months S10.
- **Current thesis:** Diesel margins carry the Gulf energy premium; confirm above USD 102/bbl crack S10.
- **Upcoming catalysts:** US CPI on 2026-10-14; FOMC on 2026-10-28 S10.

GRIP	CORE PCE	NEXT CPI
76	+0.3%	Oct 14
2026-10-01 S7	3 months S10	2026 S10

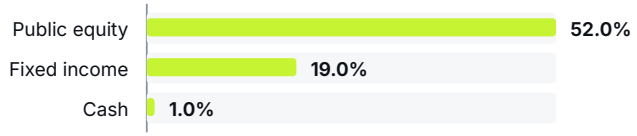
Analysis — Macro context is defensive

Observation: GRIP is 76 and Defensive S7. Why it matters: The signal informs implementation pacing, not breach correction. Uncertainty: One macro input is stale within current coverage. What would change the view: Refreshed signal results crossing into a different named regime.

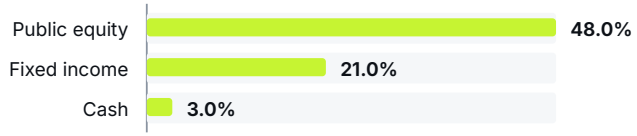
13 Proposed Changes & Impact

13.1 Allocation change

CURRENT WEIGHTS



PROPOSED WEIGHTS



Decision economics

The proposed case exchanges 15 bps of expected return for 60 bps lower expected volatility, 200 bps more T1 liquidity, and correction of both IPS breaches S3 S11.

ASSET CLASS / MANAGER	CURRENT	PROPOSED	CHANGE (BPS)	FUNDING SOURCE	IPS STATUS AFTER
public_equity	52.0%	48.0%	−400 bps	Index fund	Compliant
fixed_income	19.0%	21.0%	+200 bps	Public equity	Compliant
cash	1.0%	3.0%	+200 bps	Public equity	Compliant

13.2 Impact summary

MEASURE	CURRENT	PROPOSED	CHANGE	SOURCE
Expected return	6.7%	6.6%	−15 bps	S3
Expected volatility	13.1%	12.5%	−60 bps	S3
Sharpe ratio	0.22	0.22	0.00	S3
T1 liquidity (% NAV)	44.6%	46.6%	+200 bps	S11
Liquidity coverage ratio	2.61	2.70	0.09	S11
IPS breaches	2	0	−2	S11
Estimated transaction cost (bps)	n/a	3 bps	+3 bps	S11

Implementation: Sell the index fund in two tranches over 30 days; buy core bonds and Treasury bills S11.
Alternatives considered: No change — rejected because two band breaches and the coverage breach would remain. Full rebalance to policy — rejected because it would sell 700 bps of equity into a Defensive regime in one step.

> **Analysis — Proposal cures both breaches**
> Observation: Proposed weights reduce IPS breaches from two to zero S11. Why it matters: The change resolves both identified allocation exceptions. Uncertainty: Transaction costs and market movement remain unknown. What would change the view: An implementation estimate showing either breach remains after trades.

14 Risks & Mitigants

HIGH
0
No High risks S1

MEDIUM
2
Basis and CMA S1 S4

LOW
1
Objective gap S3

#	RISK	RATING	EVIDENCE	MITIGANT	OWNER
1	Risk-limit compliance not assessed	Medium	Persisted thresholds lack a governed observation horizon and return basis S1	Approve an observation basis before evaluating volatility, drawdown or CVaR compliance	CIO
2	Real estate CMA well above consensus	Medium	+499 bps gap S4	Run Section 7 with consensus real estate assumption before the next review	Analyst
3	Return objective shortfall	Low	−28 bps S3	Revisit spending policy at the annual review	Committee

Analysis — Basis gaps remain actionable

Observation: Two Medium risks concern unaligned policy-risk evidence and the 499 bps real-estate assumption gap S1 S4. Why it matters: Both limit confidence without changing the requested vote. Uncertainty: Comparable risk and assumption records remain unavailable. What would change the view: Refreshed records resolving either named Medium risk.

15 Open Items & Conditions

#	ITEM	REASON	TIMING	OWNER
1	Set real-return inflation assumption	IPS omission	Before approval	CIO
2	Provide look-through holdings	Coverage gap	Next review	Operations
3	Obtain Manager A verification report	GIPS follow-up	Within 30 days	Analyst
4	Provide GIPS Asset Owner Report	Evidence gap	Next review	Operations
5	Set policy-risk horizon and basis	Risk tests unassessed	Next review	CIO

16 Approvals

Resolution: Approve the Section 13 rebalance, subject to confirming the inflation assumption before the first trade and retaining the 30-day implementation window S11.

ROLE	NAME	DECISION	DATE
Prepared by		Not applicable	
Reviewed by (CIO)			
Committee chair			
Voting members		Approve / Reject / Abstain	

Post-decision record: Operations records the final weights, implementation date and transaction-cost estimate. The CIO reports completion, exceptions and the five open items in Section 15 at the next meeting.

A Appendix — Sources and methods

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

TAG	EVIDENCE	SOURCE	AS OF	CHECK
S1	get_portfolio_exposure; get_portfolio_structure; check_portfolio_policy	get_portfolio_exposure; get_portfolio_structure; check_portfolio_policy	2026-09-30	Passed
S2	get_portfolio_historical_returns; get_portfolio_attribution	get_portfolio_historical_returns; get_portfolio_attribution	2026-09-30	Partly available
S3	check_portfolio_policy; user document	check_portfolio_policy	2026-09-11	Passed
S4	get_cma_consensus_check	get_cma_consensus_check	2026-06-30	Passed
S5	get_manager_diligence_findings	get_manager_diligence_findings	2026-10-02	Advisory
S6	get_portfolio_exposure	get_portfolio_exposure	2026-09-30	Passed
S7	get_macro_signals	get_macro_signals	2026-10-01	Passed
S8	Illustrative scenario assumptions	Client document · User-supplied assumptions	2026-09-30	Not applicable
S9	get_portfolio_exposure	get_portfolio_exposure	2026-06-30	Passed
S10	get_macro_conditions; get_the_read; get_macro_calendar	get_macro_conditions; get_the_read; get_macro_calendar	2026-10-02	Passed
S11	Server-returned illustrative proposed-case analysis	Client document · User-supplied assumptions	2026-09-30	Passed

SOURCE AUDIT TRAIL

TAG	KEY PARAMETERS	DATA SCOPE	DIGEST
S1	portfolio_id=example; governed policy and exposure views	Illustrative sample data	sha256:test-s1
S2	portfolio_id=example; policy benchmark; performance available; attribution unavailable (no_weight_cohorts)	Illustrative sample data	sha256:test-s2
S3	return_objective; forward-analysis.pdf	Illustrative sample data	sha256:test-s3
S4	mode=allocation	Mixed — Illustrative sample data + User-Authorized Live	sha256:test-s4
S5	view=exposure_weighted	Illustrative sample data	sha256:test-s5
S6	portfolio_id=example; include=factor_currency_exposure,risk_contribution	Illustrative sample data	sha256:test-s6
S7	view=gradient_signal (sources.grip)	User-Authorized Live	sha256:test-s7
S8	2008 historical; 5th percentile	Illustrative sample data	sha256:test-s8
S9	portfolio_id=example; include=commitment_pacing,liquidity_scorecard	Illustrative sample data	sha256:test-s9
S10	theme=inflation; am edition; 30 days	User-Authorized Live	sha256:test-s10
S11	target weights and implementation estimate per Section 13.1	Illustrative sample data	sha256:test-s11

Each digest is the SHA-256 fingerprint of the exact data the report used.

B Appendix — Server Metric Methods

SOURCE	QUANTITY	METHOD / FORMULA ID	VERSION	BASIS AND TOLERANCE
S1	IPS status, active weights, liquidity and concentration	check_portfolio_policy	2026-10-05.v1	Governed inputs only; preserve returned thresholds and coverage
S2	Realized returns and risk	get_portfolio_historical_returns	as returned	Preserve period labels, annualization, benchmark basis, units and coverage
S2	Realized attribution	Not available	n/a	`no_weight_cohorts`; no formula or result asserted
S6	Effective number of positions	Portfolio Analytics allocations metric	as returned	Preserve chart-pack basis and fingerprint
S11	Proposed-case impacts	Portfolio Analytics proposed-case analysis	as returned	Same basis as current case

C Appendix — Methodology & Disclosures

- Expected returns and risk are forward-looking assumptions from Gradient ICAPM Global Baseline Q3 2026, not forecasts or guarantees. Actual results will differ.
- Performance is shown net of manager fees. Periods over one year are annualized.
- Attribution is unavailable for this example because no governed segment-weight cohort was returned; no local fallback is used. Factor model: Portfolio Analytics factor/currency exposure.
- Private-markets valuations may lag by 3 months; values as of 2026-06-30.
- Data sources and retrieval dates are listed in Appendix A. Sections using illustrative data are marked; they do not describe the organization's holdings.
- GIPS assessments are diligence reviews against the 2020 GIPS standards, not verifications or legal opinions.
- This memo was prepared with AI assistance from structured data and reviewed by the preparer.
- Scenario results are conditional estimates under the named shocks, not probabilities or predictions; no local replacement series is used when governed results are unavailable.
- Consensus comparisons preserve the returned peer universe, dates and basis. They are context for assumption review, not an independent recommendation.
- Committee approval does not remove fiduciary review, legal review, manager-document review or implementation controls required by the organization's governing documents.